Skeena Resources

Comprehensive US$750m funding package agreed with Orion

Skeena Resources ("SKE") has announced a US$750m funding package with Orion Resource Partners ("Orion") that should be sufficient to fund the company's Eskay Creek project in British Columbia to production. Initial drawdown can commence now with further funding linked to achieving permitting milestones. The funding includes debt, equity, and a stream in line with our previous expectations and targets first production in H1 2027, later than our previous expectation of Q4 2026. We view this as a material positive for SKE as it significantly reduces financing risk. The main catalysts should be completing initial economic assessment of Snip (2024), the Tahltan impact benefit agreement and permitting (both 2025), followed by project development in 2026. We value the shares at C$16.70/share (previous C$16.10/share).

Fully funded to first production targeted for H1 2027

The US$750m funding package is split between US$100m equity, a US$200m gold stream with a 66.7% 12 month buyback option post first production, a US$350m secured senior loan, and a US$100m cost overrun facility. The equity includes C$100m of flow through development capital (12m shares at C$8.32) and 3.4m of shares at C$6.65/share with the final element expected to close later in 2024. The US$200m gold stream will be split over five tranches. The first US$5m tranche will be paid now, the second US$45m after the technical permit is received and the following three US$50m tranches as project development progresses. Orion will receive 10.55% of the gold at 10% of the LBMA AM gold price. The silver production is not subject to the stream and it is limited to within 500m of the current resource and reserve. The US$350m loan has a 5.75 year term with four equal tranches of US$87.5m and an interest rate of 3 month SOFR +7.75%, (currently 12.4%). The ability to terminate the senior secured loan and buyback 66.67% of the stream during the first year following project completion are key positives as they make SKE attractive for a potential acquirer. In addition, there is a US$100m cost overrun facility on the same pro-rata terms as the stream; we do not currently believe that this will need to be drawn as this package should be sufficient to meet the estimated US$528m of pre-production capex, including the US$36m of contingency.

Eskay Creek makes Skeena a consolidation target

Eskay Creek is one of the largest gold deposits in Canada that should produce 324kozpa gold-equivalent ("AuEq") at an All-in Sustaining Cost ("AISC") of US$684/oz based on a 12-year mine life and a reserve of 4.6Moz. The project is lower risk with mining carried out from two open pits with a plant producing a concentrate that will be shipped for refining. Low-cost power will be supplied from the grid, supporting low operating costs. SKE is currently trading at 0.25x NAV and US$90/oz reserve, a significant discount to the global mining peer group at 0.9x and US$388/oz respectively. We believe there is scope for the shares to rerate as it moves towards production and for SKE to be a clear acquisition target for a larger mining group.

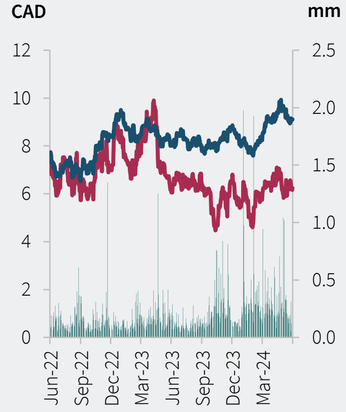
C$16.70/sh valuation implies 185% upside

Our base assumption values Eskay Creek at C$2,239m (Dec'24) using a long-term gold price of US$1,900/oz, silver price of US$25/oz, and a WACC of 5%. We value Snip and the likely expansion potential of Eskay Creek at C$486m. We apply 0.8x and 0.65x multiples, respectively, to take account of development, permitting and finance risks. Including the financing, this implies a valuation of C$16.70/share, from C$16.10, with the difference due to our updated Eskay Creek multiple from 0.75x to 0.8x.

GICS Sector	Materials
Ticker	SKE.CN
Market cap 25-Jun-2024 (C$m)	531
Share price 25-June-2024 (C$)	5.85
Target Valuation (C$)	16.70

+185%

Upside from current share price to our C$16.70/sh valuation



Source: S&P Capital IQ

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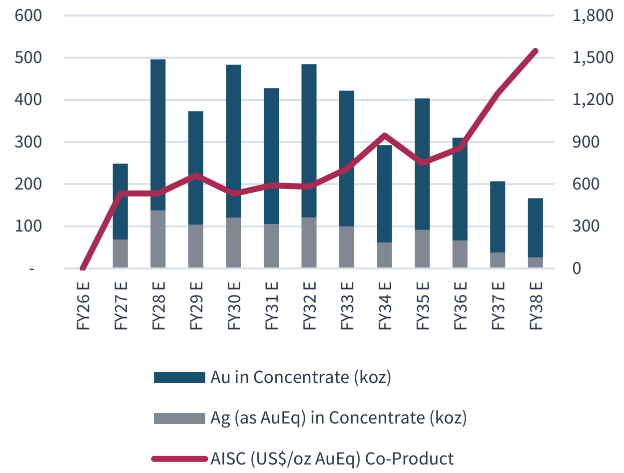
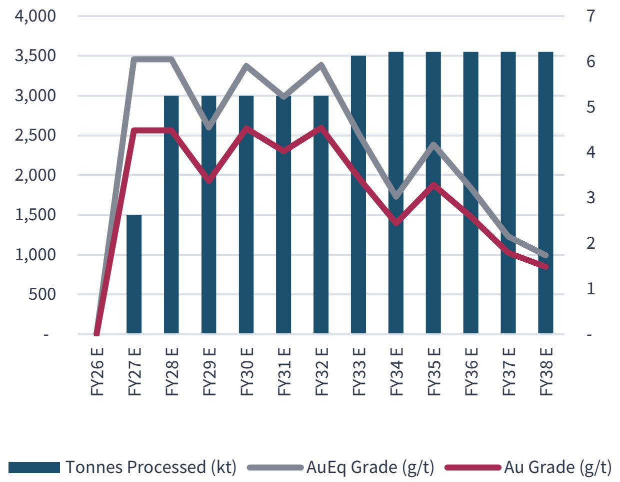
Key Charts

Eskay Creek production and AISC



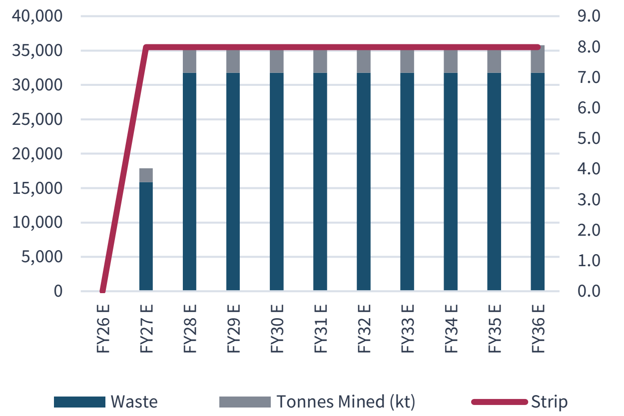
Source: Company reports, H&P estimates

Eskay Creek tonnes processed and grade



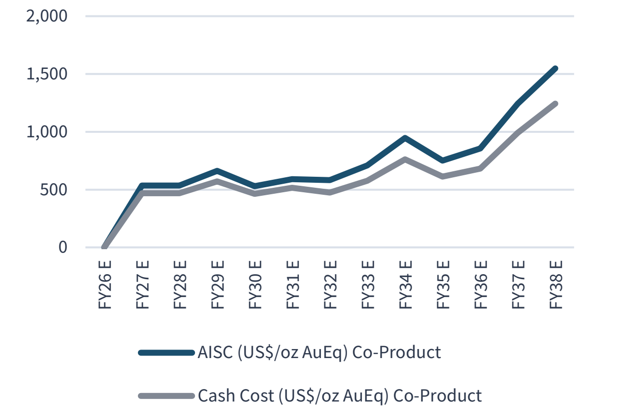
Source: Company reports, H&P estimates

Eskay Creek ore and waste mined and SR



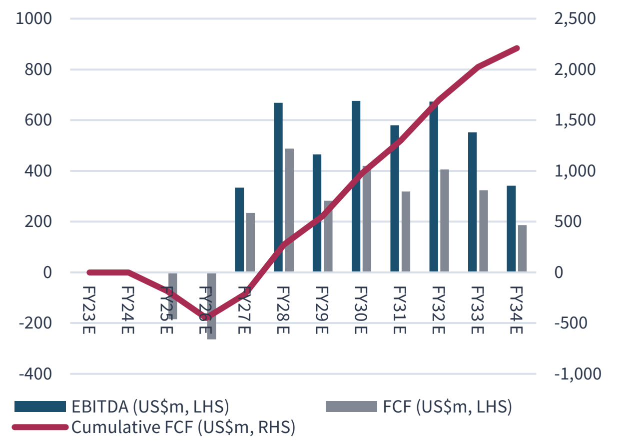
Source: Company reports, H&P estimates

Eskay Creek Cash Costs and AISC



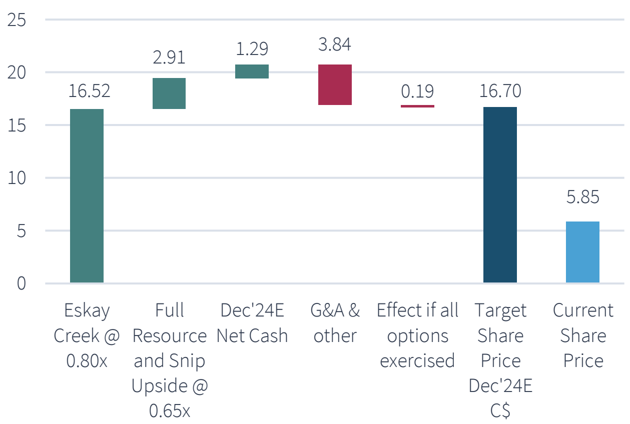
Source: Company

EBITDA, FCF and cum FCF



Source: Company reports, H&P estimates

SOTP generates a risk weighted NAV of C$16.70/share



Source: H&P estimates

Summary Financials

Income statement							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Revenue	**C$m**	**-**	**-**	**-**	**-**	**-**	**545.2**
Cost of Sales	C$m	-	-	-	-	-	(94.5)
Depreciation	C$m	(0.3)	(0.4)	-	-	-	(27.2)
Gross profit/(loss)	**C$m**	**-**	**-**	**-**	**-**	**-**	**450.7**
Total operating costs	C$m	(112.6)	(116.7)	(73.6)	(23.6)	(23.6)	(100.8)
Operating profit/(loss)	**C$m**	**(112.6)**	**(116.7)**	**(73.6)**	**(23.6)**	**(23.6)**	**349.9**
Interest income	C$m	1.4	2.0	2.7	1.9	(1.0)	2.5
Finance Costs	C$m	(0.5)	-	-	(4.6)	(32.7)	(47.4)
FX gains/losses	C$m	-	-	-	-	-	-
Other gains/(losses)	C$m	22.8	5.1	-	-	-	-
Profit/(Loss) before tax	**C$m**	**(88.9)**	**(109.6)**	**(70.8)**	**(26.2)**	**(57.3)**	**305.0**
Income tax (expense) / benefit	C$m	-	0.6	-	-	-	(6.3)
Net profit/(loss)	**C$m**	**(88.9)**	**(109.0)**	**(70.8)**	**(26.2)**	**(57.3)**	**298.7**
EBITDA	**C$m**	**-**	**-**	**-**	**-**	**-**	**442.2**

Cash flow statement							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Profit/(loss) before tax	C$m	(88.9)	(109.6)	(70.8)	(26.2)	(57.3)	305.0
Depreciation & amortisation	C$m	1.9	2.4	-	-	-	27.2
Working capital change (increase)/decrease	C$m	6.2	8.4	(21.0)	0.1	(0.1)	(65.9)
Tax (paid)/received	C$m	-	-	-	-	-	(5.4)
Other non-cash expenditures	C$m	(12.6)	8.3	-	-	-	-
CFO	**C$m**	**(93.4)**	**(90.6)**	**(91.8)**	**(26.1)**	**(57.3)**	**260.9**
Additions to PPE	C$m	(1.3)	-	-	(249.6)	(356.5)	(128.1)
Other	C$m	12.7	31.3	-	-	-	-
CFI	**C$m**	**11.4**	**31.3**	**-**	**(249.6)**	**(356.5)**	**(128.1)**
Minimum debt repayments	C$m	-	-	-	-	-	(23.6)
Other movement in net debt	C$m	-	-	-	118.1	354.4	378.0
New equity issued	C$m	49.9	85.9	135.0	-	-	-
Other	C$m	32.4	24.0	5.7	122.6	(16.9)	(450.1)
CFF	**C$m**	**82.3**	**109.9**	**140.7**	**240.7**	**337.5**	**(72.1)**
Net change in cash	**C$m**	**0.3**	**50.5**	**48.8**	**(34.9)**	**(76.3)**	**60.7**
FX impact on cash & equivalents	C$m	-	-	-	-	-	-
Beginning cash & equivalents	C$m	40.3	40.6	91.1	140.0	105.1	28.7
Ending cash & equivalents	**C$m**	**40.6**	**91.1**	**140.0**	**105.1**	**28.7**	**89.4**

Balance sheet							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Cash	C$m	40.6	91.1	140.0	105.1	28.7	89.4
Receivables	C$m	5.7	3.2	5.0	5.0	5.0	44.8
Inventory	C$m	-	-	-	-	-	7.8
Other	C$m	3.8	3.1	3.1	3.1	3.1	3.1
Current Assets	**C$m**	**50.1**	**97.5**	**148.1**	**113.1**	**36.8**	**145.1**
PPE	C$m	20.2	33.0	33.0	282.5	639.0	739.9
Other	C$m	97.6	64.5	64.5	64.5	64.5	64.5
Non Current Assets	**C$m**	**117.9**	**97.5**	**97.5**	**347.0**	**703.5**	**804.4**
Payables	C$m	14.0	20.6	30.0	30.0	30.0	11.7
Short Term Debt	C$m	-	-	-	-	(23.6)	(94.5)
Other	C$m	6.9	4.6	4.6	4.6	4.6	4.6
Current Liabilities	**C$m**	**20.9**	**25.2**	**34.6**	**34.6**	**11.0**	**(78.2)**
Long term debt	C$m	-	-	-	118.1	378.0	425.3
Other	C$m	9.9	45.2	28.1	155.3	289.3	289.1
Non Current Liabilities	**C$m**	**9.9**	**45.2**	**28.1**	**273.4**	**667.3**	**714.4**
Total Equity	**C$m**	**137.2**	**124.5**	**188.7**	**162.5**	**105.2**	**403.9**
Other	**C$m**	**-**	**-**	**-**	**-**	**-**	**-**

Source: H&Pe

Ratios & other key items							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Yr end shares issued	m	70.3	84.4	88.4	108.4	108.4	108.4
Revenue Growth	%	NA	NA	NA	NA	NA	NA
EBITDA margin	%	NA	NA	NA	NA	NA	81%
EBIT margin	%	NA	NA	NA	NA	NA	76%
Net cash/(debt)	C$m	40.6	68.4	140.0	(13.1)	(325.7)	(241.3)
Net debt/equity	**%**	**-30%**	**-55%**	**-74%**	**8%**	**310%**	**60%**
FCF	**C$m**	**5.3**	**(15.0)**	**(19.3)**	**(257.7)**	**(424.0)**	**156.3**
FCF/share	**C$m/sh**	**0.1**	**(0.2)**	**(0.2)**	**(2.4)**	**(3.9)**	**1.4**
Capital employed	C$m	147.10	169.75	216.82	435.93	772.48	1,118.31
EPS	C$m	(126.36)	(129.20)	(80.14)	(24.17)	(52.81)	275.49
ROCE	**%**	-77%	-69%	-34%	-5%	-3%	31%
ROE	**%**	**-65%**	**-88%**	**-38%**	**-16%**	**-54%**	**74%**
EV/EBITDA	**x**	**NA**	**NA**	**NA**	**NA**	**NA**	**2.0**
EV/Sales	**x**	**NA**	**NA**	**NA**	**NA**	**NA**	**1.6**

Production volumes							
Year end December		2022E	2023E	2024E	2025E	2026E	2027E
Gold contained in concentrate	koz	-	-	-	-	-	179
Silver contained in concentrate	koz	-	-	-	-	-	5,225
Gold equivalent contained in concentrate	koz	-	-	-	-	-	248
Payable gold in concentrate	koz	-	-	-	-	-	171
Payable silver in concentrate	koz	-	-	-	-	-	4,755
Payable gold equivalent in concentrate	koz	-	-	-	-	-	233

Gold and Silver Price Assumptions							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Gold Price	US$/oz	1,850	1,944	2,275	2,200	2,000	1,900
Silver Price	US$/tonne	25	23	28	29	27	25

Costs							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Cash costs US/oz	US$/oz						468
AISC US$/oz	US$m						535

Source: H&Pe

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